

Happy fun Cold War 2 update

It's getting a little warmer out there.



NOAH SMITH

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OK fine, I lied. This Cold War 2 update is neither happy nor fun. But it is necessary and important.

Half a year ago, when [I wrote that](#) a lot of what we see in the news can be explained the existence of a cold war between a China/Russia bloc and a democratic bloc, it was a controversial thesis. Now it's becoming conventional wisdom, and attention is shifting toward how to prevent Cold War 2 from becoming [World War 3](#).

Diplomat and international relations professor Philip Zelikow has [a truly excellent essay](#) about our present moment in geopolitics, which I encourage you to read. He argues that the Axis, the Soviet-China partnership at the beginning of Cold War 1, and the present quasi-alliance between China, Russia, Iran, and North Korea all have m

in common. Their overriding goal is to topple the United States. This means that the U.S. can't simply withdraw behind its oceans and adopt a posture of isolation or neutrality; the U.S. itself, and its power and wealth, is the target.

Zelikow also argues that the mid-2020s are very similar not just to the 1930s (as everyone talks about), but to the 1950s. The Korean War happened, China almost invaded Yugoslavia. Only since the end of the Cold War has there been a period of distrust between the U.S. and the Soviet Union. In another critical moment (my term, not his),

I believe the anti-war efforts are probably premature. This rests on my assessments of

Xi and Putin regardless of whether they are capable

Putin evokes the memory of Peter the Great. In China, Russia, and Iran the information and decision environments are cloistered...In China, Russia, and Iran the propaganda ministries have already been preparing their populations for a time of war, great sacrifice, and existential struggle.

And he warns that the U.S. no longer has the industrial strength to win a direct confrontation, as it did in former conflicts:

China is preparing for war. I am not saying it seeks a war. But, publicly and privately, the Chinese Communist Party is mobilizing its country for one...For the last 10 years, China has been working hard on preparing and refining its plans for national defense mobilization...One lesson to them from the Ukraine war is the



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shallow and fragile character of the U.S. defense-industrial base. Chinese manufacturing capacity now exceeds both the United States and Europe put together...There is little net public support in the United States for further big increases in defense spending beyond current levels. Yet despite an uptick in spending after Russia's invasion of Ukraine, Michael Brown notes that "America has a smaller military with older and less equipment than at any time in memory

He predicts that China will move on Taiwan with a blockade rather than an invasion attempting to bring the island to its knees by simply asserting that it's a Chinese province and daring any outside powers to treat it otherwise. An invasion would be **extremely difficult and risky**, and would definitely **generate huge losses for the world economy**, with China itself being hard-hit. A blockade, in contrast, would dare Taiwan and its protectors to make escalatory moves, while at least offering the possibility of cheap, bloodless conquest.

In the past few weeks, a number of events have occurred that strongly support Zelikow's core arguments and predictions. In response to the election of a new Taiwanese president, China has surrounded Taiwan with warships, obviously conducting a dry run for an actual blockade of the type Zelikow describes. And Russia is making a number of aggressive moves toward NATO countries, signaling that he won't be satisfied with conquering Ukraine.

Let's go through some of those scary developments.

The New Axis is making moves

Taiwan recently had an election. Basically, in Taiwanese politics, you have two main parties — the KMT, which favors a more conciliatory approach toward China and closer engagement, and the DPP, which favors distancing Taiwan from China. The KMT won the legislature, while the DPP — thanks in part to a third-party spoiler candidate — won the presidency. (The outgoing president, Tsai Ing-wen, was also DPP, but she was term-limited out.)

In his inaugural speech, the new DPP president, Lai Ching-te, [urged China to leave Taiwan alone](#) and alluded to [the island's autonomy](#), while falling short of asserting Taiwan's formal independence — a pretty standard DPP position. But whereas in the past, China reacted with annoyance and protests to such speeches, this time it [surrounded Taiwan with warships](#):

China military exercises around Taiwan



Source: AFP

This is obviously a rehearsal for a real blockade — the exact thing that Zelikow predicts. Not only are they a rehearsal in the sense of being a training exercise, but repeated almost-blockades of this type might lull both Taiwan and the U.S. into being surprised when the real version comes.

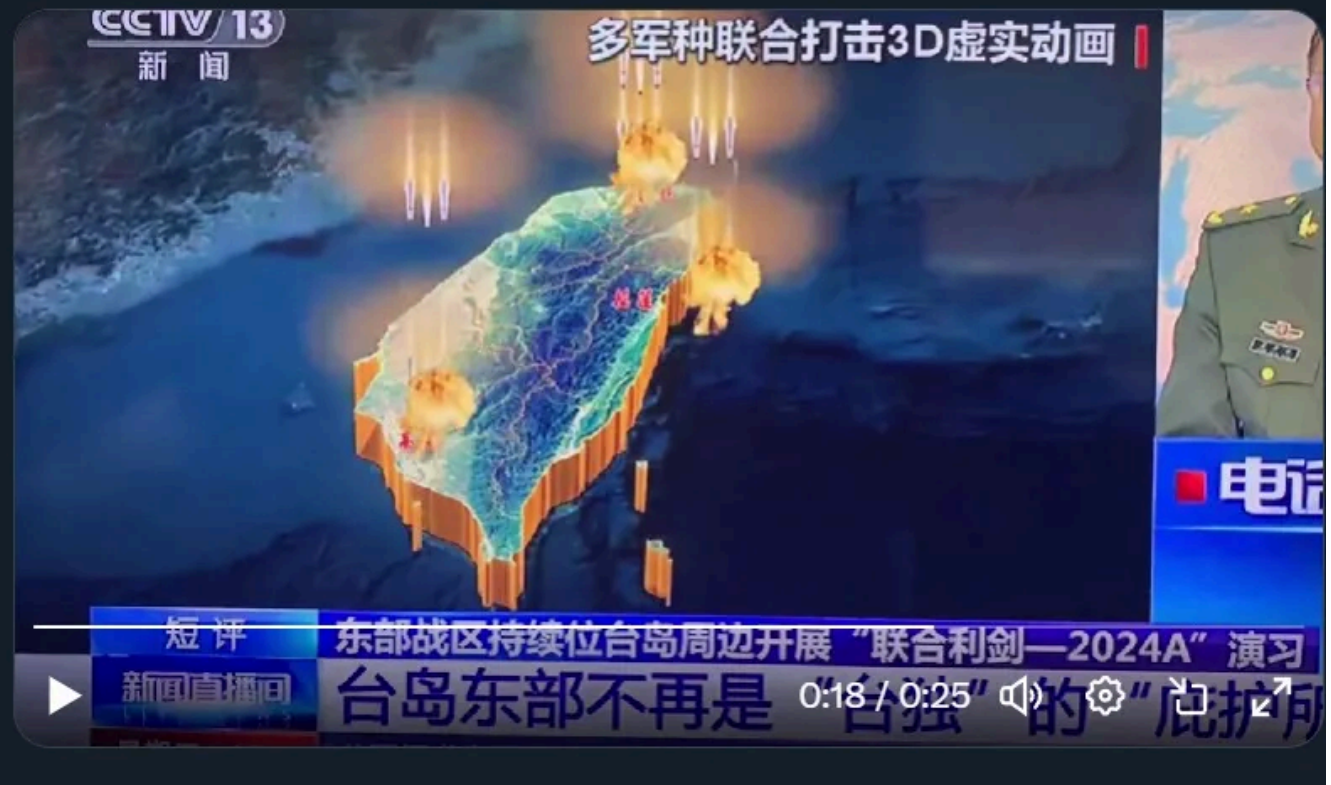
Meanwhile, China is making various other moves that look an awful lot like military preparations. It's preparing a **large armada of ferries** to support a possible amphibious assault. It's **stockpiling** copper, iron, food, and energy. It's **buying up gold** and reducing its official holdings of U.S. government bonds, an obvious hedge against financial sanctions. And so on.

Also, consider Chinese government rhetoric. The government's main TV station is **beating the war drums** pretty hard:



Stephen McDonnell
@StephenMcDonnell

Giant fireballs explode into the air following an attack on [#Taiwan](#) in this graphic on [#China](#) Central Television CCTV which just went to air in a story about the People's Liberation Army exercises over the last two days.



China is also issuing threats toward Japan, which is [likely to get involved](#) in a Taiwan conflict due to its own strategic vulnerabilities. China's ambassador to Japan [declared](#) that "once the country of Japan is tied to the tanks plotting to split China, the Japanese people will be brought into the fire."

U.S. intelligence also believes that China is now [working closely with the Russians](#) in a Taiwan invasion scenario:

US intelligence officials assess that Russia and China are working more closely together on military issues, including a potential invasion of Taiwan, prompting

new planning across the government to counter a potential scenario in which the countries fight in coordination.

In other words, if U.S. intelligence is correct, an attack on Taiwan is likely to trigger a more general attack on democratic countries by the China-Russia axis.

Russia appears to be preparing for a more general confrontation with NATO in Europe. It recently [removed the river buoys](#) demarcating its border with Estonia. Estonia is the NATO country that's probably first in line to get invaded if Russia goes to war with NATO, given its small size and population, its exposed geographic position, and its large population of Russian speakers whose existence could provide Russia with an excuse for an attack.

Meanwhile, Russia is stepping up what appears to be a sabotage campaign against Europe. Poland's prime minister has declared that Russia was likely behind [the burning of a shopping mall](#) in Warsaw, and [many suspect](#) that it was also behind a fire at Novo Nordisk's headquarters in Copenhagen. This is in addition to various other [aggressive moves](#). It's not clear what all this is supposed to accomplish — scaring Europe into disunity and inaction, perhaps? — but it certainly seems to indicate an aggressive Russian posture toward NATO.

The reason Putin can be so confident in this slow-building aggression is that he knows his superpower ally has his back. Putin recently [went to meet Xi in China](#), and the two promised to strengthen their “no limits partnership”. Xi even [gave Putin a hug](#) — a rare sign of personal affection from a Chinese leader.

And there's evidence that those words are being backed up with deeds. China is buying huge amounts of Russian oil, keeping its economy afloat. It's selling the Russians huge amounts of [dual-use technology](#) to keep its military machine humming despite Western sanctions. And [the UK now believes](#) that China is providing or preparing to provide Russia with lethal aid — actual weaponry — for the Ukraine war.

In other words, Zelikow appears to be absolutely right that the Xi-Putin partnership is a much more solid and active alliance than either the WW2 Axis or the Stalin-Mao cooperation in the early years of Cold War 1. Dreams of severing Russia from China or offering it Ukraine on a silver platter were always highly unrealistic, but now they're just utterly laughable. Nor will the threat of sanctions be sufficient to deter China from supporting its ally's war effort forever.

And Zelikow also appears to be absolutely right that this alliance has the *strategic initiative* — China and Russia are making all the moves, and the U.S. and its allies are scrambling to respond. Yet respond we must.

What the U.S. and its allies can do right now

Zelikow is not the first international relations scholar to identify the present moment as a crisis that will determine what type of conflict will unfold between the New Alliance and the New Axis. In his book *Danger Zone* with Michael Beckley, my former colleague, Hal Brands argues that cold wars are characterized by early pivot points or crises that can easily mushroom into all-out war. Only by shoring up deterrence and defining boundary lines can a cold war go truly cold — it's a sprint of a few years, followed by a marathon of a few decades.

Most of what I write about Cold War 2 is about what the U.S. needs to do in order to prepare for the decades-long marathon. Reviving U.S. manufacturing, restoring state capacity, strengthening old alliances and building new ones, maintaining America's technological edge, and so on — these are all efforts that would take many years to accomplish. Fortunately, I see a lot of other people coming to similar conclusions. For example, Matt Yglesias has an excellent post about how long-term national security requires us to embrace high-volume skilled immigration and expand trade with allies and potential allies:



The economics of the New Cold War

A reminder that you still have one more day to submit questions for Maya's mailbag on Friday (this one is for paid subscribers...

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But as crucial as these policies are, they will not get us through the “sprint” of the 2020s. The threat of world war is so imminent that even if we do all the long-term things right, we still have to figure out a way to deter China from attacking Taiwan the short term.

One thing the U.S. can do, as [Elbridge Colby](#) has argued, is to prioritize Asia over either Europe or the Middle East. This seems counterintuitive, since Asia is not currently at war, but Ukraine and Israel are. But the argument is based on *capabilities* rather than current events. China is the world's manufacturing powerhouse and could defeat all the other countries in Asia all on its own; Russia is a mid-sized power who couldn't hope to match the combined efforts of the European countries if they were to lend their full industrial strength to Ukraine. And the Middle East is simply [strategically unimportant](#).

The U.S. is more badly needed in Asia than anywhere else, and it's there we should concentrate our greatest attention and efforts. Europe simply *has to* step up and take the lead role in its own defense.

At the same time, the U.S. should not abandon Ukraine aid. In [my roundup this week](#) I cited [a Brian Potter article](#) about how the U.S. was able to build up its defense industries *before* World War 2 broke out, so that it was prepared for the war when it came. One crucial factor, Potter writes, was demand for armaments from Britain and France:

The first push to grow the U.S. aircraft industry came well before the U.S. entered the war. Desperate for more planes to counter Hitler's territorial ambitions, both Britain and France placed large orders with U.S. aircraft manufacturers in 1938 and 1939...This allowed U.S. aircraft manufacturers to greatly expand their workforce and industry employment tripled between 1938 and 1940. The orders also enabled manufacturers to build new, larger factories...

[I]n 1941 the U.S. passed the Lend-Lease Act, which authorized \$7 billion (\$149 billion in 2024 dollars) to supply Allied nations with supplies and military equipment, including aircraft.

The Ukraine war is an important source of demand that will allow U.S. defense producers to invest and ramp up production. Without it, the U.S.' defense manufacturing weakness would never have been brought into the light; now, thanks to Ukraine, the U.S. is [increasing ammunition production](#). The ramp-up is still far too slow, but at least it's something. Remember that factories that are built to provide weapons to Ukraine can easily be repurposed to provide weapons to Taiwan in case war breaks out there.

But no matter what happens, *the U.S. is going to have to spend more on defense*. This is going to be a difficult, bitter realization for many progressives who have spent their entire lives believing that America vastly outspends its rivals on defense, and that we should therefore cut defense spending in order to boost welfare spending. But a pre-accounting shows that the U.S. [no longer outspends its rivals](#) by a substantial amount. And defense has shriveled as a percent of U.S. government spending, decade after decade. The progressive conventional wisdom of the 1990s no longer holds.

Brian Riedl has [a short but excellent article](#) explaining why even in an age of high interest costs, the U.S. needs to keep spending on its military:

Progressives like Sen. Bernie Sanders [decry](#) that the "bloated defense budget" is crowding out other priorities...Similarly, many on the populist right cling to

Ukraine aid as a lead driver of deepening debt, with Ohio Sen. J.D. Vance [going so far](#) as to tie Ukraine aid to Social Security's looming insolvency. Such criticisms ignore looming threats to our national security and obscure the reality that America is falling behind...

Defense has long been the [slowest-growing](#) category of federal spending...America's military readiness is declining due to stagnant budgets, mismanagement, and escalating costs...

Nor is Ukraine aid busting the budget—in fact, it's barely a rounding error over the long run. The [\\$175 billion](#) allocated to this initiative over three years (\$58 billion annually) averages 0.2 percent of GDP and 0.9 percent of federal spending....\$300 billion...will end up only 0.2 percent as large as the [\\$116 trillion](#) Social Security and Medicare shortfall...

Moreover, much of what is categorized as “Ukraine aid” stays in the U.S., [replacing, upgrading, and modernizing](#) American military supplies.... The United States sends Ukraine its older munitions that needed replacement anyway, and then spends much of the Ukraine-assistance funds replenishing and modernizing [its own supplies](#)...

[I]t is [imperative](#) that the Defense Department streamline procurement policies, become much more cost-efficient, pass an audit, limit the spiraling growth of compensation costs, and shed all non-essential, politically driven congressional mandates. But the progressives and populists calling for defense spending to (once again) decline sharply and absorb much of the burden of deficit reduction and new social spending expansions should be dismissed.

Finally, perhaps the most important thing the U.S. can do in order to get through the crisis of the 2020s is to *not elect Donald Trump* this November. Although Trump is a mercurial man whose behavior is hard to predict, his political support base is strongly opposed to Ukraine aid, and [his flip-flop on the TikTok divestment bill](#) shows that

China and its proxies can easily sway Trump with money. Furthermore, his utter disregard for alliances in both Europe and Asia shows that he doesn't understand how small U.S. manufacturing capacity is relative to China — he has no idea that the U.S. needs as many allies as possible in order to match China's industrial might.

So the U.S., and the free world in general, now find ourselves in an extraordinarily dangerous moment in world history. A New Axis is on the march, and in many ways it's stronger than any of the autocratic coalitions that America faced in the 20th century. Meanwhile, the U.S. remains burdened by institutional weakness and riven by internal social conflict. We need to take Cold War 2 much more seriously than we are currently taking it.

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Paul M Sotkiewicz  May 29, 2024

♥ Liked by Noah Smith

We lag in ship building where China excels. We lag in steel production where China outpaces are dependent on Taiwan for high tech semiconductors. We have no longer have the technologic thinking edge I fear. Ukraine has shown the use of UAVs in the air and sea domains can harm larger navy and elude AD capabilities which were designed for a different era and purpose. The and like minded allies cannot fight two wars at once. We must fully fund and arm Ukraine to deter Russia as the deterrent to China's ambitions over Taiwan. We cannot unscramble the Ukraine but we can ensure its victory and Russian defeat. Yet this administration, while infinitely preferable to TFG, needs to find a spine and get over the fear of escalation. The fear of escalation is the biggest hurdle for the US and Germany to get over, as the two largest economies in the coalition partners (Korea and Japan follow closely behind but have no illusions about China's intents).

The sprint started in 2022. Trump must be defeated in November or all will be lost in the US and then it would be up to the rest to take up the fight, and that would be a tall order.

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Necia L Quast  May 29, 2024

♥ Liked by Noah Smith

The danger in electing Trump is not just that he is ignorant about the threat, nor that he would be influenced by Chinese might, though both points are true. It is that he is clearly beholden to Putin who has some kind of hold over him, mostly likely financial, as there are strong indications that Trump has a lot of debt to financial institutions with Russian influence, but probably also evidence of financial crimes.

Russia made significant investments in getting Trump elected, but even that along with admiration for political strongmen does not explain the level of obsequious behavior Trump displayed toward Putin--refusing to criticize him or Russia and in fact when pressed to do so defending him and criticizing the U.S. instead.

Within days of taking office he handed over some of our most highly classified intelligence to the Russian ambassador, which we only know about, because Russia made that information public.

Trump broke longstanding practice and met with Putin without any other U.S. official present and information about what they spoke about has never been released.

The amount of highly classified information taken from the White House and kept with him at his personal residence is also unprecedented. Most commentary is that his reasons are unclear, but

it down to a combination of ignorance , vanity, and Trumpian bad behavior. Is it not possible to see it as perhaps valuable if he needed sanctuary abroad from legal trouble?

Despite his frequently belligerent threats Trump was notoriously unwilling to use U.S. military overseas. In fact, his generals were reportedly shocked when he approved the proposed assassination of the Iranian general. At first I considered this tendency a Trumpian mystery, but once one posits a Putin hold then it makes perfect sense. Russia definitely prefers that U.S. military remain as unengaged as possible. The evidence seems to be right out in the open, but apparently the idea that U.S. president is in effect an agent of a hostile foreign power seems too ridiculous to contemplate...

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